

CARVING THE FUTURE OF INDIAN ECONOMY



INTALKWITH

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Q Steel demand in India is set to grow at a pace faster than 10% per annum. How will the capacity and actual production increase to meet this growing steel demand?

Steel is basic to infrastructure, automobile and consumer goods sectors. As Indian economy keeps growing, so will also grow the demand for steel in the country will grow. Before the occurrence global economic recession in September 2008, the steel consumption in the country was growing at 12-13% per annum. Again it has bounced back to 8% in the last financial year 2009-10 and we are expecting a demand growth of around 10% in the current financial year.

Our current focus areas are increasing the production and build additional steel capacity, so that we are able to meet the anticipated steel demand, mostly out of our domestic capacity. You are right in stating that the domestic steel production must pace up to meet this double digit demand growth. I am very hopeful that, all the brownfield projects, of nearly 30 million tonnes, will get commissioned by the year 2011-12 and by December 2012, the production capacity in the country will be in 110-115 million tonnes.

Q How are the public sector units under your Ministry planning to bring in more production of steel? What are their plans towards efficiency and production of higher value added steel?

In order to meet the demands of increasing competition and to continue to be a dominant player in the steel production map of the world, the Steel PSUs, SAIL and RINL have planned for enhancement in their capacity for producing steel. The modernization and expansion plans of SAIL envisage not only capacity additions but embody technological upgradations/ modernisation of this existing equipment/technology; enrichment of product mix with emphasis on value added finished products, but also incorporating technologies which are environmentally compliant. Some of the technologies proposed to be introduced are the continuous casting technology; introduction of pellets charging in Blast Furnaces; coke dry quenching facilities in Coke ovens; top pressure recovery turbine introduced in Blast Furnaces and coal Dust Injection in Blast furnaces

NMDC Limited, a PSU under Ministry of Steel, which has hitherto been involved in mining of iron ore and diamonds, has decided to set up an integrated steel plant with a capacity of 3 Million Tonnes Per Annum at Nagarnar, in Chattisgarh.

Q Even after 60 years of active steel production, we are not in the front line of steel technology? What R&D efforts are being planned by your Ministry to set up India in the forefront of technology?

It is generally true that India is not in the frontline of steel technology and most of the technologies and equipments are source from outside. However, there are areas like coal based sponge iron production wherein India has mastered the technology and today, India is the world leader in not only production of sponge iron but also supply of technology for a coal based sponge iron plants.

Research & Development are pursued mainly by the integrated steel plants and Steel Authority of India Ltd., and Tata Steel are the front runners. However, total investment in R&D in India is limited and also there is lack of adequate infrastructure in the areas of design, engineering etc. Ministry of Steel is supplementing the investment in R&D from the Steel Development Fund and also Government budgetary support.

Q Are you in favour of a free market for steel or you would like to introduce a regulatory mechanism for controlling the production and price?

We have left the regulatory era behind us, way back in